

Profit & Sales Analysis Report

Executive Summary

This report analyzes sales and profitability performance across branches, product categories, and order statuses. The objective is to identify revenue drivers, profitability trends, operational challenges, and opportunities for business growth. The analysis reveals that while the business generated strong profits, operational inefficiencies in order fulfillment and uneven branch performance may be limiting overall growth potential.

Findings

➤ Revenue & Profit Performance

The business generated a total revenue of **₦251,592** and total profit of **₦95,462**, resulting in a profit margin of approximately **38%**.

This indicates that the company is operating profitably and retains a significant portion of revenue as profit.

Key Observation

The profit margin suggests effective pricing and cost management strategies.

➤ Branch Performance Analysis

Revenue contribution by branch shows clear performance differences.

Branch	Revenue
Lagos	₦57,143
Ibadan	₦52,822
Port Harcourt	₦50,109
Kano	₦47,625
Abuja	₦43,893

Key Observation

Lagos contributes the highest revenue and serves as the primary revenue driver.

Abuja records the lowest revenue contribution and may require targeted sales interventions.

➤ Product Category Performance

Electronics and Fashion dominate overall performance.

Category	Revenue	Profit
Electronics	₦74,107	₦28,104
Fashion	₦72,665	₦27,508
Accessories	₦41,332	₦15,738
Beauty	₦35,162	₦13,445
Clothing	₦28,326	₦10,667

Key Observation

Electronics contributes the highest revenue and profitability.

Clothing consistently underperforms across both revenue and profit metrics.

➤ Order Fulfillment Analysis

Order status distribution reveals operational concerns.

Status	Orders
Pending	136
Cancelled	129
Shipped	120
Delivered	115

Key Observation

Pending and cancelled orders account for over half of all orders.

This indicates possible challenges in inventory management, order processing, logistics, or customer experience.

➤ Monthly Revenue Trend

Revenue remains relatively stable throughout the year but experiences periodic fluctuations.

Key Observation

Sales peaks indicate periods of stronger customer demand.

Lower-performing months may benefit from targeted promotional campaigns to stabilize revenue.

Business Insights

➤ Revenue Concentration Risk

A significant portion of revenue is generated by Lagos.

Over-reliance on a single branch may expose the business to geographic concentration risk.

➤ Product Portfolio Strength

Electronics and Fashion account for the largest share of both sales and profit.

These categories should remain strategic priorities for growth.

➤ Operational Bottleneck

The high volume of pending and cancelled orders suggests inefficiencies in the order fulfillment process.

Improving fulfillment efficiency could unlock additional revenue without acquiring new customers.

➤ Growth Opportunity

Abuja demonstrates the lowest revenue performance, indicating untapped growth potential.

Targeted sales initiatives could improve branch productivity.

➤ Seasonal Demand Patterns

Monthly sales fluctuations suggest customer purchasing behavior varies throughout the year.

This creates opportunities for seasonal promotions and inventory planning.

Recommendations

Recommendation 1

Reduce pending and cancelled orders by improving inventory visibility, delivery tracking, and customer communication.

Expected Impact

Higher customer satisfaction and increased revenue realization.

Recommendation 2

Increase inventory allocation and marketing investment for Electronics and Fashion categories.

Expected Impact

Maximize returns from the highest-performing product segments.

Recommendation 3

Conduct branch-level performance reviews for Abuja and Kano.

Expected Impact

Identify operational and sales gaps affecting performance.

Recommendation 4

Launch promotional campaigns for Clothing products.

Expected Impact

Improve category sales and inventory turnover.

Recommendation 5

Develop seasonal sales strategies based on monthly revenue patterns.

Expected Impact

Reduce sales volatility and increase annual revenue.

Conclusion

The analysis reveals a profitable business with a healthy profit margin of approximately 38%. Lagos remains the strongest-performing branch, while Electronics and Fashion are the primary drivers of revenue and profitability. However, the high number of pending and cancelled orders highlights operational inefficiencies that could negatively impact growth if not addressed. By strengthening order fulfillment processes, investing in top-performing categories, and improving underperforming branches, the business can increase revenue, improve customer satisfaction, and achieve sustainable growth.